

For many businesses, though, it may be very hard to predict what their future growth rate and normalized earnings will be. My students sometimes ask, “What do you do for a company that is in a competitive industry, or technology is causing major changes, or new products are coming out, or some other circumstance makes it very difficult to estimate what future earnings might be?” I tell them to just skip that company and find a company that they can analyze. It is very important to know what you don’t know. As Warren Buffett says, “There are no called strikes on Wall Street.” You can watch as many pitches as you want, and only swing when everything sets up your way.

Another important point I try to teach my students is that you have to consider not only what your opportunity set is right now, but also what opportunities you may be forgoing later by investing now. If your opportunity set is not that great right now, maybe you should wait another 6 to 12 months before becoming fully invested. Otherwise, if you invest all your capital now based on the current opportunity set, you may not have that money available for a better opportunity in the future, or you might have to sell what you buy now at a lower price to free up the money. That is why I always assume that my minimum bogie is at least a 6 percent return, even if interest rates are near zero, as they are now. Moreover, I have to beat 6 percent by a measurable amount because the assumption is that the 6 percent is risk-free. So I wouldn’t take 8 percent, unless I have high confidence that it will grow over time. I need a “margin of safety,” as Graham would say. I compare normalized earnings to the risk-free rate or 6 percent, whichever is higher. My opportunity set is not only what my choices are right now, but also what I think my choices might be at some time in the foreseeable future.

What has been your experience with investors?

Back in 1988, a few years after I started Gotham Capital, one of the earliest fund of funds became an investor. At the time, we were sending only quarterly letters to our investors. The fund of funds said, “We have to report to our investors more often; can we get monthly numbers?” I agreed. The first month they were invested, we were up 1.1 percent, which I thought was pretty good. But I got a call from the head of the fund of funds who said, “You know, we have a lot of investments with